

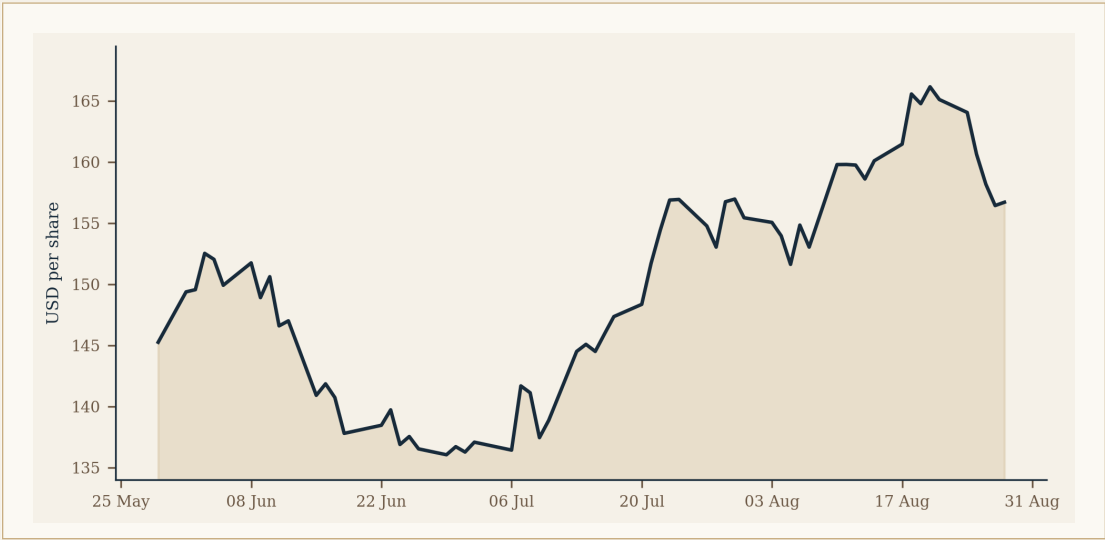
ExxonMobil

Exxon Mobil Corporation

NYSE : XOM · United States · Oil & Gas Integrated

USD 156.71

Closing price, 28 August 2026 · +0.27 (+0.17%) on the day



XOM share price, daily close, 8 April 2026 – 28 August 2026. Source: Alpha Vantage, daily adjusted time series.

Executive Summary

Business

ExxonMobil is a vertically integrated international oil, gas, and chemicals company operating through Upstream (crude oil, natural gas, and LNG production), Product Solutions (fuels refining, chemicals, and specialty products), and Low Carbon Solutions, the last housed within Corporate and Financing while it scales. The Upstream segment generated approximately \$55.7 billion of 2025 revenue and the substantial majority of segment earnings, while Energy Products (refining and fuels marketing) is the largest revenue contributor at roughly \$217.8 billion, or 68.7% of 2025 group revenue (Sourced: ExxonMobil 2025 Form 10-K; Bullfincher segment compilation).¹ The company sells to wholesale fuel buyers, industrial and chemical customers, and retail motorists worldwide, with production concentrated in the Permian Basin, Guyana, and global LNG assets, and refining concentrated in the U.S. Gulf Coast, Europe, and Asia-Pacific.

Financial Condition

Full-year 2025 revenue was \$323.9 billion, down 4.5% from \$339.2 billion in 2024 on weaker crude and chemical prices; trailing-twelve-month revenue through June 2026 rebounded to \$361.1 billion as a Middle East-driven oil price spike lifted second-quarter 2026 results (Sourced: Alpha Vantage/SEC-normalized financial statements). EBITDA was \$67.9 billion in 2025 and net income (attributable to ExxonMobil) was \$28.8 billion, down from \$33.7 billion in 2024. Operating cash flow was \$52.0 billion in 2025 and free cash flow, calculated as operating cash flow less capital expenditure, was approximately \$23.6 billion (management's own free cash flow figure of \$26.1 billion additionally credits divestment proceeds) (Sourced: ExxonMobil 2025 results release; Calculated by analyst). The balance sheet held \$43.5 billion of total debt against \$10.7 billion of cash at year-end 2025, a net debt position of roughly \$32.9 billion and net debt/EBITDA of 0.48x, among the lowest leverage ratios of any major oil company.

Market Position

ExxonMobil's principal integrated-oil peers are Chevron, Shell, TotalEnergies, ConocoPhillips (upstream-focused), and BP; ExxonMobil is the largest of the group by market capitalization (\$644.4 billion) and by hydrocarbon production. Its main competitive advantage is the scale and quality of its resource base (advantaged low-cost barrels in the Permian and Guyana represented 59% of 2025 production) combined with an integrated refining and chemicals network that captures margin across the value chain. Its principal competitive weakness is that, like all integrated majors, its earnings and cash flow remain structurally exposed to global crude and refining-margin cycles that management does not control.

Valuation

At the 28 August 2026 close of \$156.71, ExxonMobil's market capitalization was approximately \$644.4 billion and enterprise value approximately \$677.3 billion (market capitalization plus total debt less cash). The stock traded at a trailing P/E of 20.1x, a forward P/E of 13.1x, EV/EBITDA of 8.9x, and a dividend yield of 2.6% (Sourced: Alpha Vantage company overview, 28 August 2026). These multiples sit above ExxonMobil's own five-year historical average and above every direct integrated-oil peer analyzed in this report, a premium the market has historically assigned to ExxonMobil's balance-sheet quality and capital discipline.

Investment Framework

What is attractive: an investment-grade balance sheet with 0.48x net debt/EBITDA, a 43-year consecutive dividend growth record, \$15.1 billion of cumulative structural cost savings since 2019, and record low-cost production growth in the Permian and Guyana.

What is concerning: reported earnings and cash flow in the trailing twelve months were inflated by an unusual, geopolitically driven oil-price spike that had substantially unwound by the report date; normalized earnings power is lower than the trailing-twelve-month run-rate suggests.

What must go right: continued low-cost volume growth in the Permian, Guyana, and LNG must offset natural field decline and normalizing crude prices for earnings to hold near current levels without further multiple support.

What could break the thesis: a sustained retreat of Brent crude toward the \$55–65 per barrel range some forecasters project for 2026, combined with weak refining margins, would compress Upstream and Energy Products earnings simultaneously.

What appears to be priced in: a valuation above historical and peer averages suggests the market is pricing in some persistence of elevated 2026 earnings and continued execution of the growth project queue, rather than a full reversion to pre-spike, mid-cycle commodity assumptions.

Investment Profile

BUSINESS QUALITY	High: integrated, advantaged low-cost resource base with scale across upstream, refining, and chemicals.
FINANCIAL QUALITY	High: investment-grade leverage, consistent free cash flow generation, 43 years of dividend increases.
COMPETITIVE POSITION	Leading: largest integrated major by market capitalization and production among direct peers.
GROWTH PROFILE	Moderate: production growing on advantaged assets; group revenue and earnings remain commodity-price dependent.
BALANCE-SHEET RISK	Low: net debt/EBITDA of 0.48x and a 14.0% debt-to-capital ratio at year-end 2025.
VALUATION	Above historical and peer averages on trailing multiples, aided by cyclically elevated trailing earnings.
MARKET AND TECHNICAL PROFILE	Elevated volatility in 2026 tied to Middle East supply disruption; shares roughly 10% below the 52-week high as the associated price premium unwinds.

A. About the Business

A1. Business Environment

The oil and gas industry converts subsurface hydrocarbon resources into transportation fuels, petrochemical feedstocks, and energy for power generation. The value chain runs from exploration and production (Upstream) through transportation, refining, and marketing (Downstream) to petrochemicals (Chemicals). Upstream economics are governed by resource quality, extraction cost per barrel, and the price of crude oil and natural gas, which are set in global and regional markets and are inherently cyclical. Downstream and chemicals economics are governed by refining and cracking margins, which reflect the spread between crude/feedstock costs and product prices and are themselves cyclical, though on a different phase than crude prices.

Global oil demand in 2026 has grown modestly, led by non-OECD economies, while supply growth has come mainly from non-OPEC+ producers; OPEC+ has continued to unwind voluntary production cuts (Sourced: IEA and EIA short-term outlooks, cited August 2026).² Industry economics in 2026 have been dominated by an acute, geopolitically driven supply shock: renewed Iran-Israel-U.S. hostilities from June 2026 disrupted tanker traffic through the Strait of Hormuz and raised the threat of a blockade at Bab el-Mandeb, pushing Brent crude to a peak near \$105–109 per barrel in July 2026 before easing to the high-\$80s by late August as Gulf exports partially recovered (Sourced: Al Jazeera, Gulf News, and Trading Economics market reporting, July–August 2026; Fortune daily oil price series).³ This is a textbook illustration of the industry's capital intensity, geopolitical exposure, and price-taking structure: no single company, including ExxonMobil, sets the price of the commodities it sells.

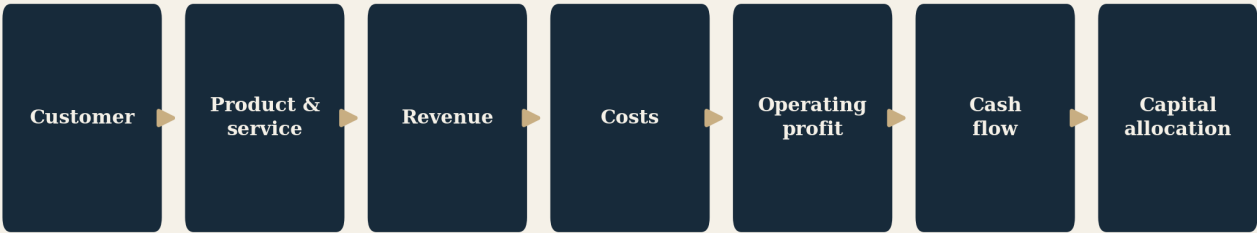
The industry is best classified as **mature and cyclical, with an active structural transition underway**. Global oil demand growth has slowed to a low single-digit pace and is expected by most forecasters to plateau over the next decade, while natural gas and LNG demand continue to grow, particularly for power generation and industrial use in Asia. Simultaneously, the sector faces a multi-decade transition toward lower-carbon energy sources, which has pushed integrated majors, including ExxonMobil, to build carbon capture, hydrogen, and lithium businesses alongside their core hydrocarbon operations without abandoning them.

A2. What Does the Company Do?

ExxonMobil explores for and produces crude oil and natural gas (Upstream); refines crude oil into gasoline, diesel, jet fuel, and other fuel products and markets them under the Exxon, Mobil, and Esso brands (Energy Products); manufactures petrochemical building blocks such as polyethylene and polypropylene (Chemical Products); and produces specialty lubricants, basestocks, and performance additives (Specialty Products). Low Carbon Solutions develops carbon capture and storage, hydrogen, and lithium projects. Upstream production reached its highest level in more than 40 years in 2025 at 4.7 million oil-equivalent barrels per day, with the Permian Basin (1.6 million barrels per day) and Guyana (over 700,000 gross barrels per day) setting annual records; advantaged assets represented 59% of total production, up roughly seven percentage points from 2024 (Sourced: ExxonMobil 2025 results release).¹

Customers include wholesale and retail fuel buyers, airlines, industrial and chemical manufacturers, and, through joint ventures, national oil companies and utilities. Pricing for crude oil and natural gas is set by global commodity markets; refined product pricing reflects regional crack spreads; chemical and specialty product pricing reflects a mix of commodity and value-added contract pricing. Revenue is overwhelmingly non-recurring in the sense that it resets with each barrel produced and sold, though long-term supply contracts and joint-venture structures provide some multi-year visibility, particularly in LNG.

How a dollar flows through ExxonMobil



Reasoned by analyst: stylized operating model, not a company-published diagram.

Stage	What happens	Approximate scale (FY2025)
Customer	Fuel wholesalers/retail, airlines, chemical and industrial buyers, national oil companies (JV partners)	n/a
Product / service	Crude oil, natural gas and LNG; refined fuels; petrochemicals; lubricants and specialty products	n/a
Revenue	Total revenue and other income, FY2025	\$323.9 bn
Costs	Crude/feedstock, operating expense, SG&A, D&A, taxes other than income	\$290.0 bn
Operating profit	Operating income, FY2025	\$33.9 bn
Cash flow	Cash flow from operations, FY2025	\$52.0 bn
Capital allocation	Capital expenditure \$28.4 bn; dividends \$17.2 bn; buybacks \$20.0 bn	\$65.6 bn

Source: ExxonMobil 2025 results release and Form 10-K; Alpha Vantage SEC-normalized financial statements. Figures rounded.

The most economically important stages of this model are the Upstream production base, because it determines unit cost and margin resilience through the commodity cycle, and disciplined capital allocation, because it converts a cyclical cash flow stream into a growing, uninterrupted dividend and a shrinking share count.

A3. Business and Relationship Network

ExxonMobil's ecosystem spans upstream joint ventures, midstream infrastructure, and downstream distribution. Major relationships include: in Guyana, a production-sharing joint venture with Hess Corporation (acquired by Chevron in 2025) and CNOOC, operated by ExxonMobil; in Qatar and other LNG geographies, joint ventures with state oil companies; in the Permian Basin, wholly owned unconventional acreage following the 2024 acquisition of Pioneer Natural Resources; and the Golden Pass LNG export terminal, a joint venture with QatarEnergy, where Train 1 reached mechanical completion in late 2025 with first cargoes expected in early 2026 (Sourced: ExxonMobil 2025 results release).¹ Key suppliers are oilfield-services companies (drilling, completions, and subsea equipment) and industrial equipment manufacturers; key customers are wholesale fuel distributors, airlines, and chemical converters; key technology and infrastructure partners include pipeline operators and, for Low Carbon Solutions, carbon-capture and hydrogen technology developers.

Ownership is broad-based: institutional investors hold approximately 67.0% of shares outstanding and insiders hold approximately 0.08% (Sourced: Alpha Vantage company overview, 28 August 2026). No single shareholder exercises control, consistent with ExxonMobil's status as one of the most widely held U.S. equities.

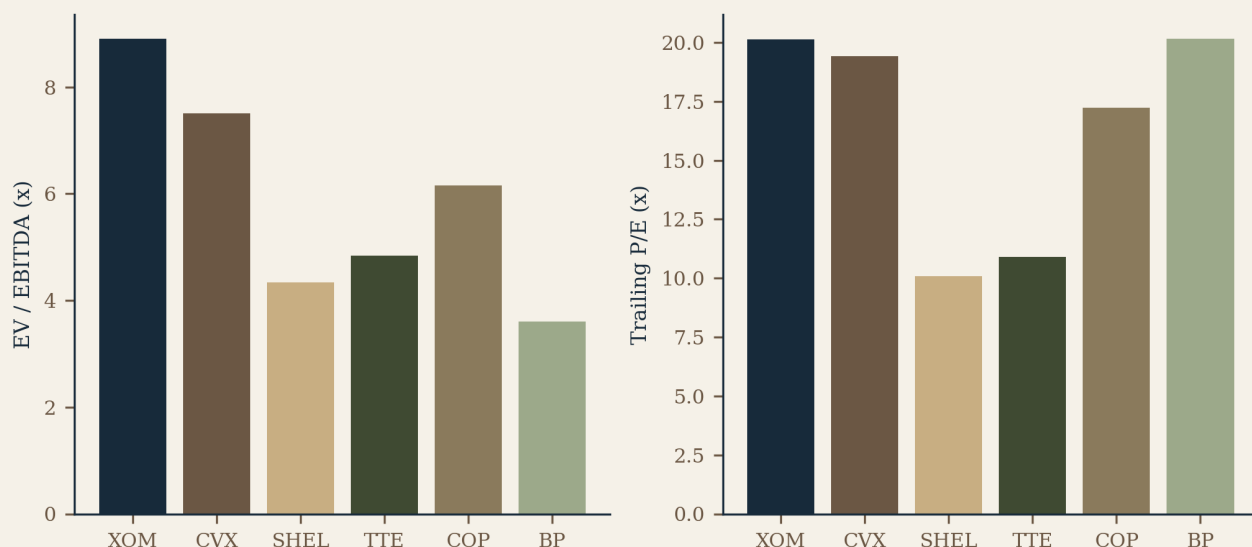
A4. Competition

ExxonMobil's most economically relevant competitors are the other integrated oil majors that compete for the same capital, exploration acreage, LNG offtake contracts, and refining feedstock: Chevron, Shell, TotalEnergies, and BP (direct, integrated, global scale) and ConocoPhillips (direct, upstream-focused, overlapping Permian and LNG exposure but without integrated refining/chemicals). Indirect competitors include national oil companies (Saudi Aramco, ADNOC, QatarEnergy) which compete for reserves and LNG customers but are not investable in the same way, and renewable-energy and electric-vehicle value chains, which represent long-run substitutes for transportation-fuel demand.

PEER COMPARISON, AS OF 28 AUGUST 2026

Company	Mkt cap (\$bn)	Trailing P/E	EV/EBITDA	Div. yield	Primary business focus
ExxonMobil (XOM)	644.4	20.1x	8.9x	2.6%	Fully integrated: upstream, refining, chemicals
Chevron (CVX)	396.0	19.4x	7.5x	3.5%	Integrated; upstream-weighted; Hess/Guyana entry (2025)
Shell (SHEL)	249.6	10.1x	4.3x	1.7%	Integrated; world's largest LNG marketer
TotalEnergies (TTE)	191.0	10.9x	4.8x	4.9%	Integrated; largest low-carbon/renewables build-out among peers
ConocoPhillips (COP)	156.6	17.2x	6.2x	2.6%	Pure-play upstream E&P; no downstream/chemicals
BP (BP)	108.6	20.2x	3.6x	4.8%	Integrated; smallest of the group; ongoing portfolio reset

Source: Alpha Vantage company overview data for each ticker, 28 August 2026. Market values for Shell, TotalEnergies and BP reflect U.S.-listed ADR pricing conventions as reported by the data provider. Calculated: none; all figures as reported by data provider.

EV/EBITDA and trailing P/E, ExxonMobil vs. direct peers

Units: times (x). Period: trailing twelve months as of 28 August 2026. Source: Alpha Vantage company overview.

ExxonMobil trades at the highest EV/EBITDA multiple in the peer set, a premium the market has historically attributed to its balance-sheet strength, capital discipline, and structural cost-reduction record (cumulative \$15.1 billion since 2019, more than all other integrated majors combined, per management) (Management claim, sourced to company release; not independently reconciled to peer disclosures in this report).¹ Shell and TotalEnergies trade at the largest discounts, consistent with their heavier European listing base, lower historical U.S. institutional ownership, and, for TotalEnergies, a larger low-carbon capital allocation that some investors ascribe a lower multiple.

A5. Competitive Differences

Advantages: scale (largest integrated major by market capitalization and production in the peer set); an advantaged, low-cost resource base concentrated in the Permian and Guyana; full value-chain integration from wellhead to refined product and petrochemical, which allows margin capture across cycles that pure-play upstream producers cannot access; an investment-grade balance sheet that provides through-cycle investment flexibility; and a proprietary technology and project-execution track record (management cites 10 of 10 planned key growth projects delivered in 2025, on or ahead of schedule) (Management claim, sourced to company release).¹

Disadvantages: like all integrated majors, ExxonMobil cannot control the price of the commodities it sells, so earnings and cash flow remain structurally exposed to macro and geopolitical shocks, as illustrated by the 2026 Middle East-driven price spike and its subsequent unwind; large absolute capital expenditure (\$28–29 billion guided for 2026) creates execution risk on major projects; and the long-run energy transition represents a structural demand risk for core products that management is only partially hedging through Low Carbon Solutions, which remains sub-scale relative to core Upstream and Product Solutions earnings.

ExxonMobil's cost-advantage and integration benefits are structural; the current earnings premium tied to elevated 2026 crude prices is temporary. The overall moat is assessed as **Moderate**: real and durable resource-quality and integration advantages exist, but they operate within a commodity industry with limited pricing power and no meaningful switching costs at the product level.

A6. Industry Trend

Forecaster views on 2026 crude prices diverge sharply, reflecting the unusual geopolitical uncertainty of the period: ABN AMRO's baseline sees Brent averaging around \$55 per barrel in 2026 easing toward \$50 by year-end on oversupply, while J.P. Morgan and the U.S. Energy Information Administration have projected averages closer to \$78–86 per barrel across the second half of 2026 (Sourced: ABN AMRO, J.P. Morgan, and EIA published outlooks, cited August 2026).⁴ This spread is unusually wide for major sell-side and official forecasters and signals that the market itself has not settled on whether the 2026 Middle East supply shock will recur, persist, or fully unwind. Structurally, global oil demand growth is decelerating, OPEC+ spare capacity is being unwound gradually, and non-OPEC supply (led by the Americas) continues to grow, a combination most forecasters associate with downward price pressure over the medium term absent renewed geopolitical disruption.

The industry is classified as **mature and highly cyclical**, presently overlaid with acute geopolitical volatility. The current price elevation versus the ABN AMRO base case could reverse quickly if the Iran-Israel-U.S. conflict de-escalates further and Gulf export volumes continue normalizing toward pre-conflict levels, a process already underway as of the report date (Gulf exports recovered to roughly two-thirds of pre-war levels in August 2026, per Goldman Sachs estimates cited in press reporting).³

A7. Management

Darren W. Woods has served as Chairman and Chief Executive Officer since January 2017, having joined the company in 1992 and held senior operating roles across ExxonMobil Chemical and ExxonMobil Refining and Supply before becoming President in 2016. **Neil A. Hansen** became Senior Vice President and Chief Financial Officer effective 1 February 2026, succeeding into the role after 26 years at ExxonMobil spanning Investor Relations, Treasury, and segment leadership of Energy Products; he replaced the prior CFO as part of a routine, previously planned succession. Other Management Committee members include Neil A. Chapman and Jack P. Williams, both Senior Vice Presidents with multi-decade ExxonMobil tenures spanning chemicals and upstream operations, respectively (Sourced: ExxonMobil corporate website, Management Committee page, accessed August 2026).⁵

On capital allocation, management has been consistent and shareholder-oriented: 43 consecutive years of annual dividend increases, \$37.2 billion of FY2025 shareholder distributions (dividends plus buybacks), and a stated plan to repurchase a further \$20 billion of shares through 2026, "assuming reasonable market conditions" (Management claim, sourced to company release).¹ The 2024 Pioneer Natural Resources and Denbury acquisitions were funded largely with equity, preserving balance-sheet capacity, and net debt/EBITDA has remained below 1.0x throughout the five-year period examined in this report. Guidance accuracy is difficult to assess independently given the extraordinary 2026 commodity backdrop, but management's structural cost-savings target (\$15.1 billion delivered against a 2030 target of \$20 billion) has tracked consistently since it was introduced in 2019.

B. Evaluation

B1. Financial and Operating Metrics

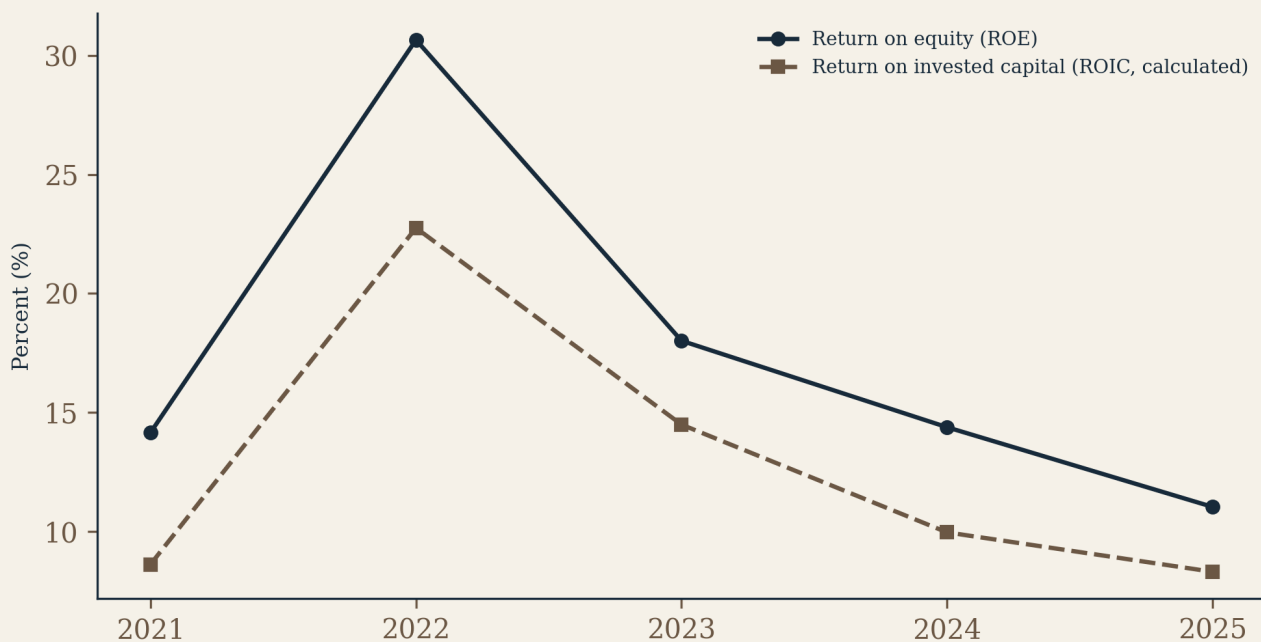
The metrics below are calculated from Alpha Vantage's SEC-normalized annual statements for fiscal years 2021–2025 unless noted. ExxonMobil's 2022 results reflect the extraordinary post-COVID, post-Russia/Ukraine invasion commodity spike and are an outlier in the five-year series; 2026 trailing figures reflect the Middle East-driven spike described in Section A.

PROFITABILITY AND RETURNS, FY2021–FY2025

Metric	2021	2022	2023	2024	2025
Gross margin	23.5%	25.9%	25.1%	22.6%	21.7%
Operating margin	8.7%	16.1%	13.3%	11.7%	10.5%
Net margin	8.3%	14.0%	10.8%	9.9%	8.9%
Return on equity (calculated)	14.1%	30.7%	18.0%	14.4%	11.0%
Return on invested capital (calculated)	8.6%	22.8%	14.5%	10.0%	8.3%

Calculated by analyst: ROE = net income / average shareholders' equity; ROIC = operating income × (1 – effective tax rate) / (total debt + equity – cash). Management's own return on capital employed, a related but non-identical measure, was 9.3% for FY2025 and has averaged approximately 11% since 2019 (Management claim, sourced to company release).

Return on equity and return on invested capital, FY2021–FY2025



Units: percent. Period: fiscal years 2021–2025. Source: Calculated by analyst from Alpha Vantage SEC-normalized financial statements.

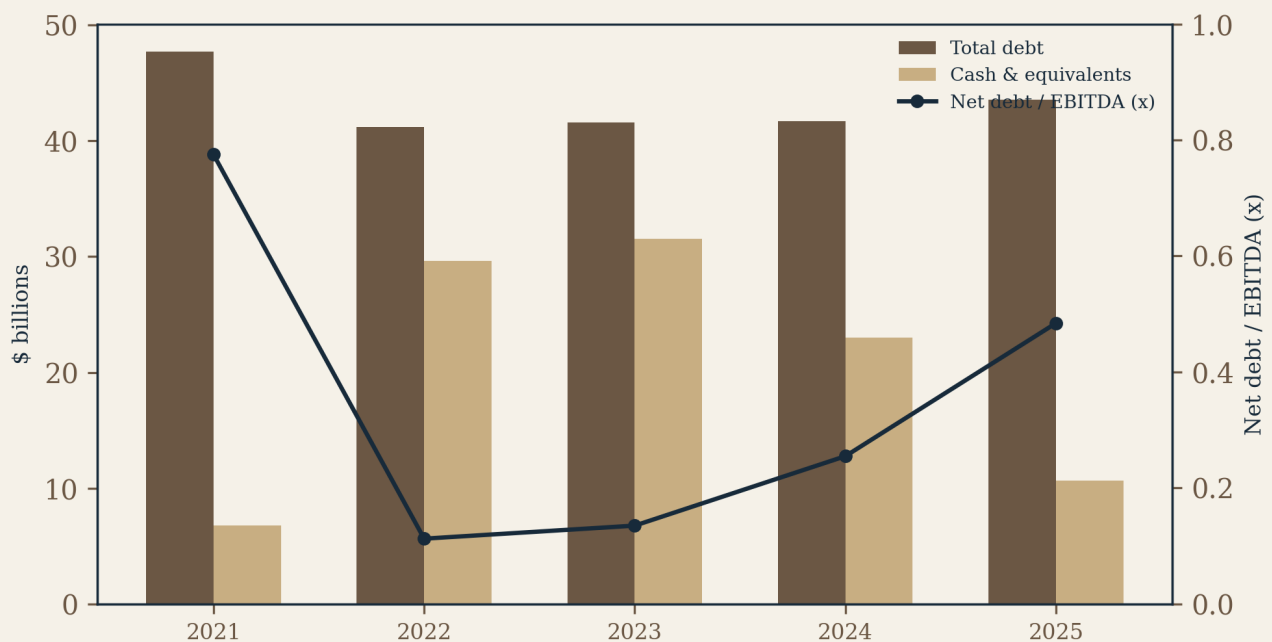
LEVERAGE AND CASH CONVERSION, FY2021–FY2025

Metric	2021	2022	2023	2024	2025
Total debt (\$bn)	47.7	41.2	41.6	41.7	43.5

Metric	2021	2022	2023	2024	2025
Cash and equivalents (\$bn)	6.8	29.6	31.5	23.0	10.7
Net debt / EBITDA (calculated)	0.77x	0.11x	0.14x	0.25x	0.48x
Operating cash flow / net income	2.09x	1.38x	1.54x	1.63x	1.80x
Capex / revenue	4.4%	4.6%	6.5%	7.2%	8.8%

Calculated by analyst from Alpha Vantage SEC-normalized financial statements. Rising capex/revenue since 2023 reflects growth investment in the Permian, Guyana, and LNG (Golden Pass) even as revenue has been flat to declining on price.

Total debt, cash, and net debt / EBITDA, FY2021–FY2025



Units: \$ billions (bars); times (line). Period: fiscal years 2021–2025. Source: Calculated by analyst from Alpha Vantage SEC-normalized financial statements.

Every metric above is economically meaningful for an integrated oil major; metrics such as inventory turnover or receivables turnover are omitted as they carry limited analytical value for a commodity producer whose margin is set primarily by price, not working-capital efficiency.

B2. Risks

STRUCTURED RISK ASSESSMENT

Category	Key risk	Probability	Impact
Macro / commodity	Reversal of the 2026 oil-price spike toward \$55–65/bbl base-case forecasts would compress Upstream and Energy Products earnings simultaneously	High	High
Geopolitical	Renewed escalation or de-escalation of the Iran-Israel-U.S. conflict could sharply reprice crude in either direction; the company sources little production from the immediate conflict zone but is fully exposed via global pricing	High	High

Category	Key risk	Probability	Impact
Regulatory / environmental	Climate policy, carbon pricing, and methane regulation could raise compliance costs or curtail permitting in key basins	Medium	Medium
Technological	Accelerated EV adoption and efficiency gains could structurally reduce long-run transportation-fuel demand	Medium	Medium (long horizon)
Execution	Large capital projects (Golden Pass LNG, Guyana developments, China Chemical Complex) carry cost-overflow and schedule risk	Medium	Medium
Competitive	Chevron's 2025 acquisition of Hess brought a direct competitor into ExxonMobil's Guyana joint venture, altering the competitive and governance dynamic of ExxonMobil's largest growth asset	Certain (occurred)	Medium
Valuation	Trailing multiples reflect cyclically elevated 2026 earnings; multiple compression could accompany earnings normalization	Medium	Medium

The three risks most capable of permanently impairing shareholder value are: (1) a structural, multi-year decline in global oil demand driven by faster-than-expected transportation electrification, which would strand long-dated upstream and refining capital; (2) a sustained commodity-price collapse combined with a large, value-destructive acquisition, a pattern integrated majors have exhibited in prior cycles; and (3) a major operational or safety incident at a large single asset (comparable in scale to historical industry incidents), which would carry both financial and reputational consequences. None of these appears imminent as of the report date, but each is a standard, sector-wide tail risk for an integrated major of ExxonMobil's scale.

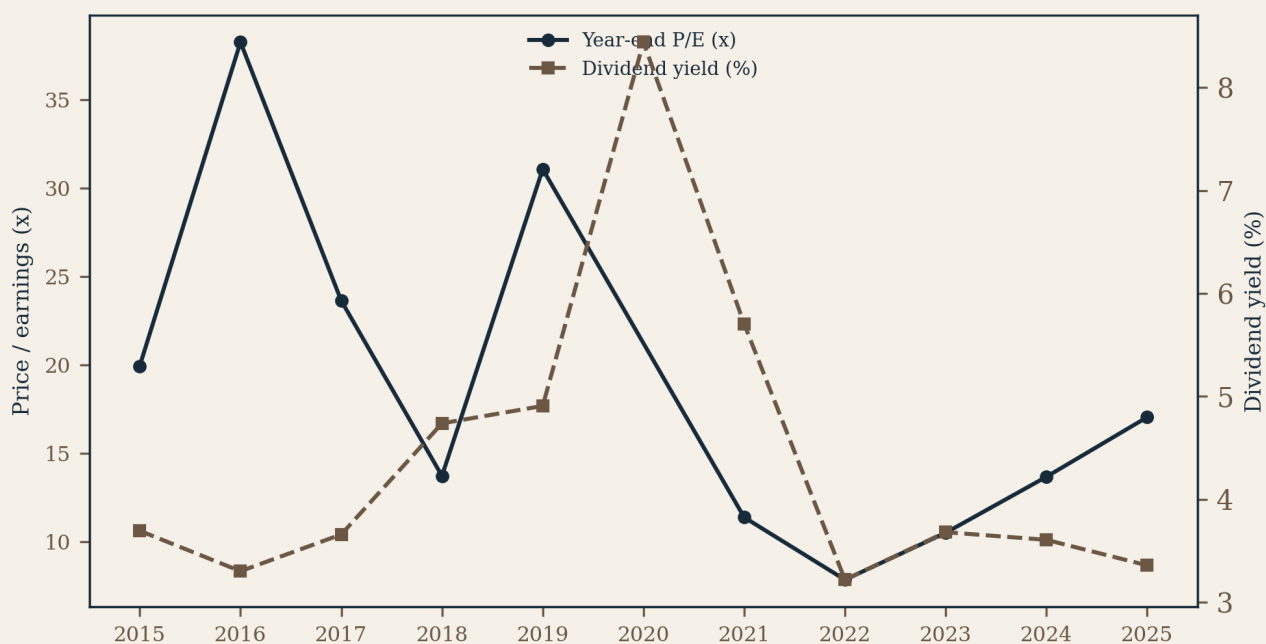
B3. Valuation

VALUATION MULTIPLES: CURRENT, HISTORICAL, AND PEER CONTEXT

Multiple	Current (28 Aug 2026)	5-yr own range (approx.)	Peer average (ex-XOM)
Trailing P/E	20.1x	7.8x–38.2x	15.6x
Forward P/E	13.1x	n/a	n/a
EV/EBITDA	8.9x	n/a	5.3x
Price/Sales	1.79x	n/a	n/a
Dividend yield	2.6%	3.2%–8.4%	3.5%

Own 5-year range is a calculated year-end P/E and dividend-yield series (see chart below); 2020 is excluded from the P/E range owing to a reported net loss. Peer average is an unweighted mean of Chevron, Shell, TotalEnergies, ConocoPhillips, and BP as of 28 August 2026 (Sourced: Alpha Vantage).

ExxonMobil year-end P/E and dividend yield, 2015–2025



Units: times (P/E, left axis); percent (dividend yield, right axis). Period: calendar year-end, 2015–2025. 2020 P/E omitted (net loss year). Source: Calculated by analyst from Alpha Vantage weekly adjusted price series, annual reported EPS, and dividend history.

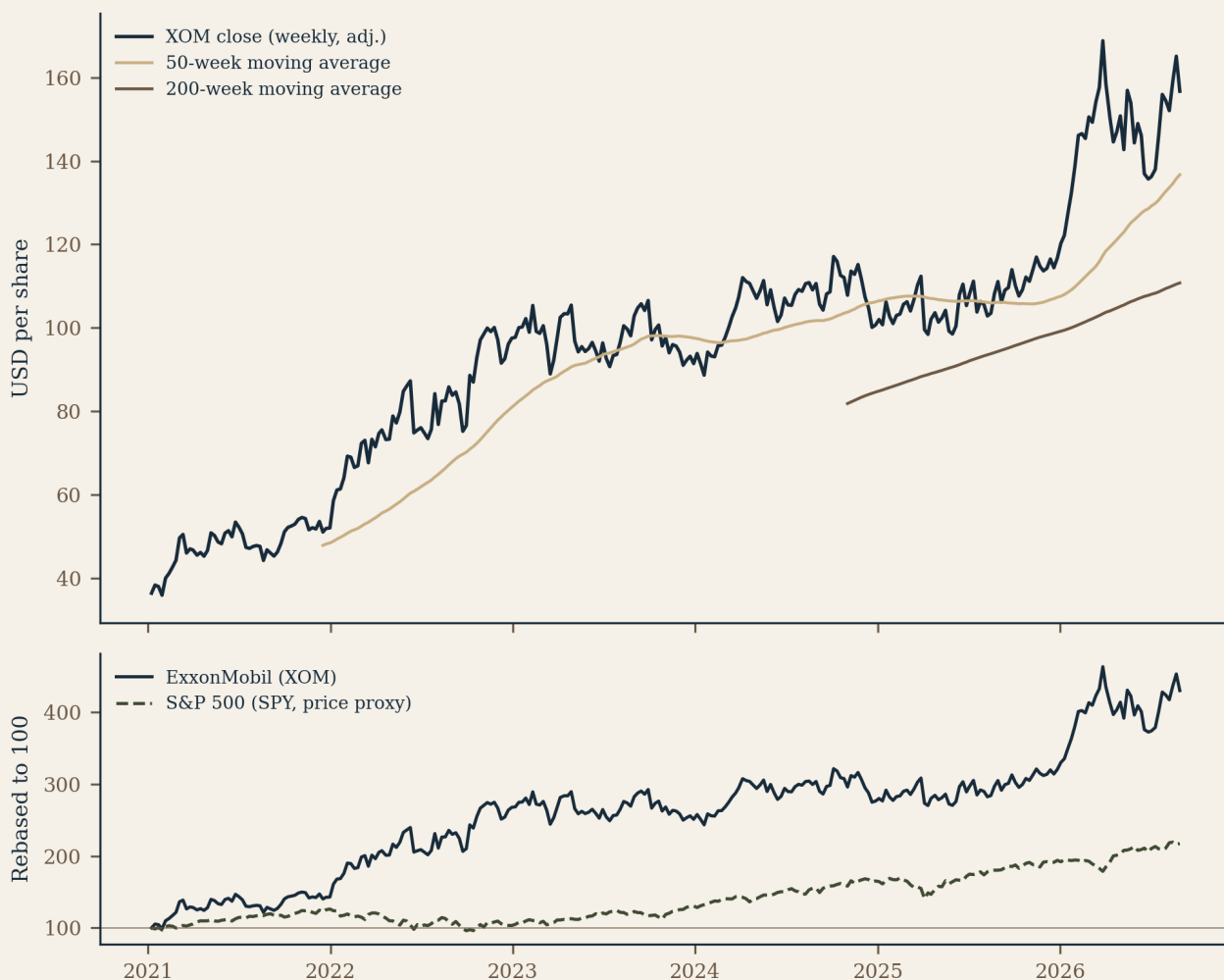
At 20.1x trailing earnings and 8.9x EV/EBITDA, ExxonMobil trades near the top of its own decade-long valuation range and above every direct peer. Because trailing earnings include the elevated second-quarter 2026 result driven by the Middle East oil-price spike, part of this multiple compresses mechanically if crude reverts toward the \$55–65 per barrel range some forecasters project, without requiring any change in investor sentiment: normalized earnings would be lower, and the same share price would imply a higher earnings multiple. Reading the current price at face value, the market appears to be assuming that oil prices settle materially above the low end of forecaster ranges and that ExxonMobil's low-cost volume growth continues to outpace normal field decline; that combination would be characterized as an **optimistic**, though not extreme, embedded expectation, given the wide dispersion of professional forecasts described in Section A6.

B4. Capital Market and Stock Analysis

PRICE RETURNS TO 28 AUGUST 2026

Period	Return
1 week	–5.1%
1 month	0.0%
3 months	+7.9%
Year to date (from 26 Dec 2025 close)	+34.2%
1 year (dividend-adjusted)	+44.9%
3 years (dividend-adjusted)	+59.7%
5 years (dividend-adjusted)	+234.8%

Calculated by analyst from Alpha Vantage daily (1 week–3 months) and weekly dividend-adjusted (year-to-date and longer) closing-price series. Periods of one year or longer use dividend-adjusted closes and therefore approximate total shareholder return rather than price return alone; shorter periods use unadjusted daily closes.

XOM price with 50- and 200-week moving averages, and performance relative to the S&P 500

Top: weekly adjusted close with 50- and 200-week moving averages, USD per share. Bottom: XOM and SPY (S&P 500 proxy) rebased to 100 at 1 January 2021. Period: January 2021 – August 2026. Source: Calculated by analyst from Alpha Vantage weekly adjusted time series.

The stock's 50-week moving average has remained above its 200-week moving average throughout the period shown, consistent with a sustained uptrend since the 2021 recovery from pandemic-era lows. The 52-week trading range of \$105.30 to \$174.09 captures both a broad 2025 base and the acute 2026 volatility associated with the Middle East conflict; the current price of \$156.71 sits roughly 10% below the 52-week high and roughly 49% above the 52-week low. Beta as reported by the data provider is unusually low at 0.17, likely reflecting a period in which oil-price-driven, idiosyncratic swings in energy equities have been imperfectly correlated with the broader index; this is a data-provider-calculated statistical measure over a specific historical window and should not be read as evidence that ExxonMobil shares are low-risk in an absolute sense.⁶ On a relative-performance basis, ExxonMobil has outpaced the S&P 500 since 2021, though the gap narrowed over 2023–2024 as broad-market technology-driven gains outpaced energy, before widening again with the 2026 commodity spike.

C. Financial Statements

All figures in this section are reported (not adjusted) unless labeled otherwise, drawn from Alpha Vantage's SEC-normalized restatement of ExxonMobil's audited Form 10-K financial statements for fiscal years 2021–2025 (Sourced).⁶ Fiscal year 2025 net income of \$28,844 million attributable to ExxonMobil differs modestly from the \$28.8 billion "earnings" figure emphasized in the company's own results release and from the \$30.1 billion "earnings excluding identified items" non-GAAP figure management also discloses; this report uses the GAAP-consistent, SEC-normalized figure throughout unless a metric is explicitly labeled as management's non-GAAP measure.

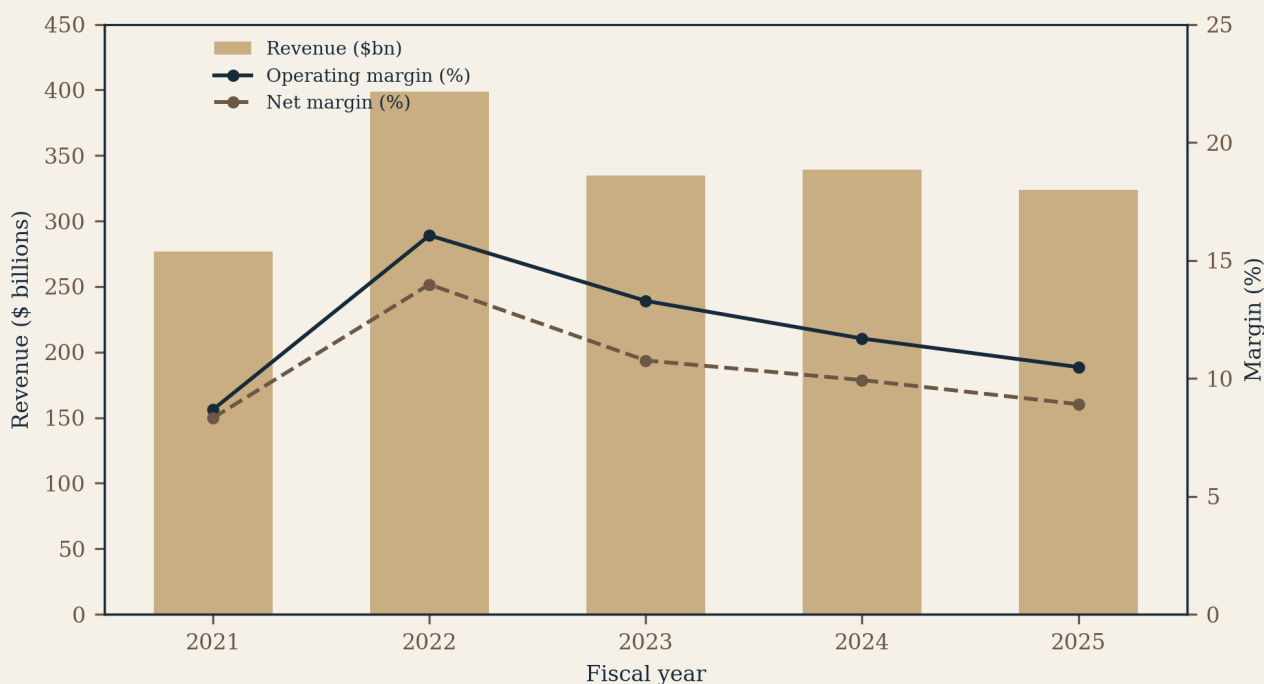
C1. Income Statement

INCOME STATEMENT SUMMARY, FY2021–FY2025 (\$ MILLIONS)

Line item	2021	2022	2023	2024	2025
Total revenue	276,692	398,675	334,697	339,247	323,905
Gross profit	64,886	103,067	84,142	76,742	70,233
Operating income	24,019	64,028	44,461	39,652	33,938
EBITDA	52,788	102,591	74,273	73,311	67,864
Net income	23,040	55,740	36,010	33,680	28,844
Income tax expense	7,636	20,176	15,429	13,810	11,504

Source: Alpha Vantage, SEC-normalized. Reported.

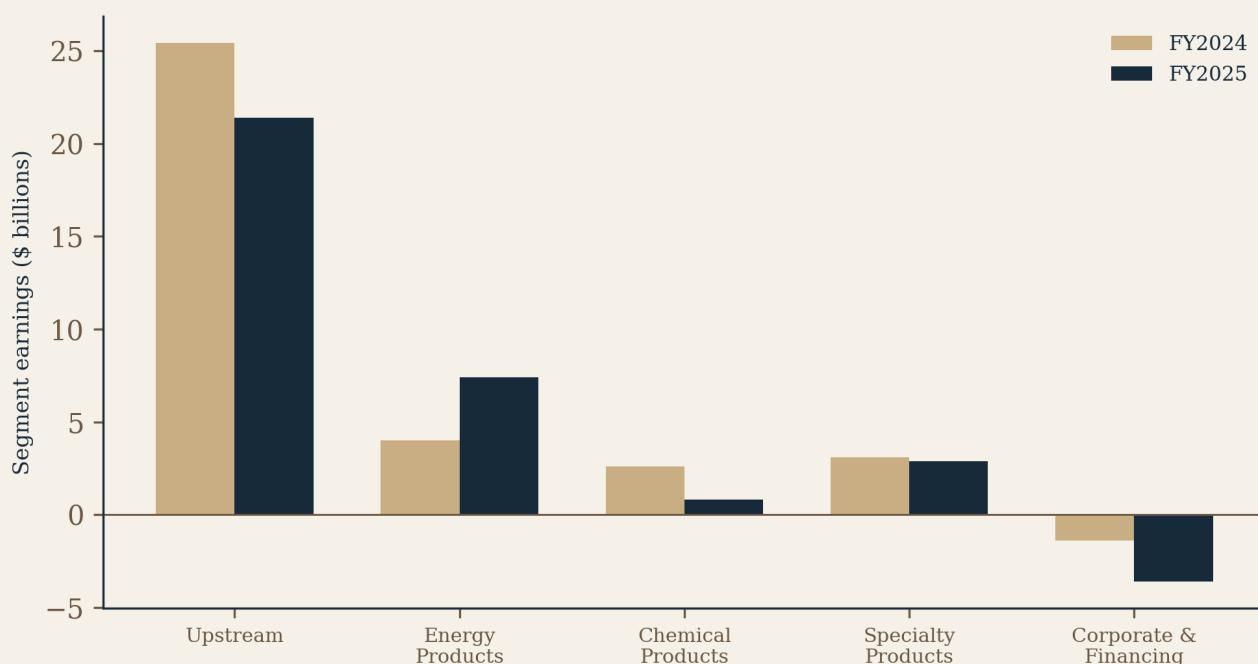
Revenue and margins, FY2021–FY2025



Units: \$ billions (bars, revenue); percent (lines, margins). Period: fiscal years 2021–2025. Source: Calculated by analyst from Alpha Vantage SEC-normalized financial statements.

Revenue peaked in 2022 at \$398.7 billion on the post-invasion commodity price spike, then declined for three consecutive years as crude and refining margins normalized, reaching \$323.9 billion in 2025. Operating margin followed the same arc, from 16.1% in 2022 to 10.5% in 2025. Within Product Solutions, 2025 growth in Energy Products earnings (refining margins) partly offset Upstream earnings declines (weaker crude realizations and lower base volumes from divestments), while Chemical Products earnings fell on weak industry margins (Sourced: ExxonMobil 2025 results release).¹ The 2021–2025 pattern is a price and mix story more than a volume story: reported Upstream production has generally risen even as revenue and margins moved with commodity prices, indicating operating leverage that cuts in both directions with the cycle rather than a structural change in the business's underlying unit economics.

Segment earnings by business, FY2024 vs. FY2025



Units: \$ billions, segment earnings (not revenue). Period: fiscal years 2024 and 2025. Source: ExxonMobil 2025 results release (reported).

C2. Balance Sheet

BALANCE SHEET SUMMARY, FY2021–FY2025 (\$ MILLIONS, YEAR-END)

Line item	2021	2022	2023	2024	2025
Total assets	338,923	369,067	376,317	453,475	448,980
Cash and equivalents	6,802	29,640	31,539	23,029	10,681
Property, plant & equipment (net)	216,552	204,692	221,789	301,441	299,373
Total liabilities	163,240	166,594	163,779	182,869	182,354
Total debt (short + long term)	47,704	41,193	41,573	41,710	43,537
Shareholders' equity	168,577	195,049	204,802	263,705	259,386

Source: Alpha Vantage, SEC-normalized. Reported. The 2024 asset and equity step-up reflects the Pioneer Natural Resources and Denbury acquisitions, funded predominantly with equity. ExxonMobil's own FY2025 results release cites total equity of \$266.6 billion for net-debt-to-capital purposes; this report uses the \$259.4 billion balance-sheet figure for shareholders' equity attributable to ExxonMobil throughout, as it is the directly reported, audited line item, and flags the approximately \$7.2 billion difference as likely attributable to noncontrolling interests or a differently defined capital base in management's own ratio.

Total debt has remained in a narrow \$41–48 billion band across the five years shown, while cash has swung more widely with the commodity cycle and share-repurchase pace, falling from \$31.5 billion at year-end 2023 to \$10.7 billion at year-end 2025 as buybacks accelerated. Goodwill and intangible assets (\$20.9 billion at year-end 2025) are modest relative to the \$299.4 billion of net property, plant and equipment, indicating that ExxonMobil's balance sheet is asset-heavy rather than acquisition-goodwill-heavy, a structurally lower-risk profile than for companies that have grown primarily through purchase accounting. No red flags were identified in working-capital trends, receivables, or inventory over the period; the principal balance-sheet consideration is the scale of ongoing capital commitments (Golden Pass LNG, Permian and Guyana developments) against a cash position that has become thinner in absolute terms even as leverage ratios remain low.

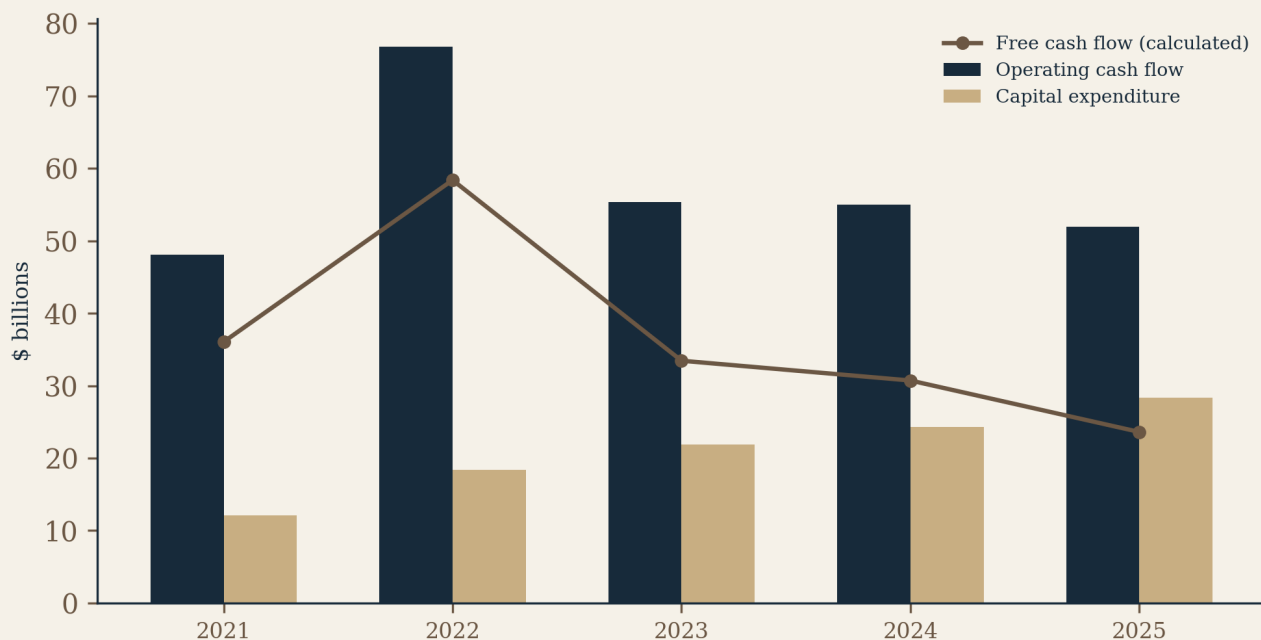
C3. Cash Flow Statement

CASH FLOW SUMMARY, FY2021–FY2025 (\$ MILLIONS)

Line item	2021	2022	2023	2024	2025
Cash flow from operations	48,129	76,797	55,369	55,022	51,970
Capital expenditure	12,076	18,407	21,919	24,306	28,358
Free cash flow (calculated)	36,053	58,390	33,450	30,716	23,612
Dividends paid	14,924	14,939	14,941	16,704	17,231
Share repurchases	155	15,155	17,748	19,629	20,273

Source: Alpha Vantage, SEC-normalized. Reported, except "Free cash flow," which is calculated by the analyst as cash flow from operations less capital expenditure. Management's own FY2025 free cash flow figure of \$26.1 billion additionally includes divestment-related proceeds within investing activities; the two figures are not directly comparable and both are presented for transparency.

Operating cash flow, capital expenditure, and free cash flow, FY2021–FY2025



Units: \$ billions. Period: fiscal years 2021–2025. Source: Calculated by analyst from Alpha Vantage SEC-normalized financial statements.

Cash generation has consistently exceeded accounting net income, with an operating cash flow / net income ratio ranging from 1.38x to 2.09x across the five years shown (Calculated by analyst), reflecting substantial non-cash depreciation, depletion and amortization charges (\$26.0 billion in 2025) that are characteristic of a capital-intensive extraction and refining

business. Net income is therefore not a reliable proxy for cash generation in this sector, and free cash flow is the more decision-relevant metric for assessing dividend and buyback capacity. Free cash flow (calculated) has declined for three consecutive years, from \$58.4 billion in 2022 to \$23.6 billion in 2025, driven by both lower operating cash flow and materially higher capital expenditure as growth projects have moved into their heaviest spending phases; shareholder distributions of \$37.5 billion in 2025 (dividends plus buybacks) therefore modestly exceeded calculated free cash flow, funded by the drawdown in the cash balance described in Section C2.

C4. Forecasting and Projections

Revenue modeling (Reasoned): near-term revenue is overwhelmingly a function of crude oil and refining-margin prices rather than volume, given that ExxonMobil's own production growth (Permian, Guyana, Golden Pass ramp) is a low-double-digit percentage of the base over a multi-year horizon while commodity prices can move by 30–50% within a single year, as 2026 has demonstrated. A base-case revenue model would hold approximately 3–5% annual production/volume growth from advantaged assets through the remainder of the decade and overlay whatever crude-price path is assumed.

Margin projections (Reasoned): structural cost savings (targeting \$20 billion cumulative by 2030, versus \$15.1 billion delivered through 2025) provide a modest, controllable margin tailwind independent of price; the larger margin swing factor remains refining crack spreads and crude realizations, both currently elevated relative to the ABN AMRO base-case 2026 forecast.

Working capital and capex (Sourced/Reasoned): management guides to \$27–29 billion of cash capital expenditure in 2026, consistent with the elevated 2025 level, as Golden Pass LNG, Permian, and Guyana developments continue; capital intensity (capex/revenue) is assumed to plateau near current levels (8–9%) before easing once Golden Pass reaches full production.

ILLUSTRATIVE SCENARIO FRAMEWORK (REASONED; ASSUMPTIONS, NOT FORECASTS)

Scenario	Brent assumption	Directional revenue vs. FY2025	Directional net margin vs. FY2025
Bear case	\$55–60/bbl (ABN AMRO-type base case)	Roughly flat to down, price offsetting volume growth	Down 200–400 bps
Base case	\$68–75/bbl (mid-cycle, partial normalization)	Roughly flat to modestly up	Broadly stable
Bull case	\$80–90/bbl (persistent geopolitical premium)	Up meaningfully	Up 200–400 bps

Sensitivity: holding all else equal, each \$10 per barrel change in realized crude price has historically moved ExxonMobil's annual Upstream earnings by several billion dollars, given 2025 net production of 4.7 million oil-equivalent barrels per day; this is a reasoned order-of-magnitude sensitivity, not a company-disclosed figure, and actual sensitivity varies with hedging, mix, and realized versus benchmark price differentials.

C5. Discounted Cash Flow Model

The DCF below is a reasoned, assumption-driven range, not a precise intrinsic-value estimate, and is presented to illustrate what growth and margin combination the current price requires rather than as a price target.

DCF ASSUMPTIONS AND RANGE (REASONED/ESTIMATED)

Assumption	Bear	Base	Bull
Revenue growth (5-yr avg.)	-2%	+1%	+4%
EBITDA margin (steady state)	18%	21%	24%
Capex / revenue	8%	7%	6%
WACC	8.5%	8.0%	7.5%
Terminal growth	1.0%	1.5%	2.0%

Under these assumptions, a simplified free-cash-flow-to-firm DCF, using year-end 2025 net debt of \$32.9 billion and 4,111.9 million diluted shares outstanding, produces an illustrative equity value range of approximately **\$105–150 per share in the bear case, \$150–195 per share in the base case, and \$195–245 per share in the bull case** (Estimated by analyst). The current price of \$156.71 sits within the base-case range but toward its lower half, consistent with the B3 conclusion that the market is pricing in a moderately optimistic, though not extreme, set of forward assumptions. These ranges are highly sensitive to the WACC and terminal-growth inputs and to the crude-price path embedded in the margin assumption; they should be read as an order-of-magnitude framework rather than a valuation conclusion.

C6. Leveraged Buyout Model

A leveraged buyout framework is not a meaningful analytical lens for ExxonMobil. At a \$644 billion market capitalization, investment-grade credit profile, and 0.48x net debt/EBITDA, the company is far larger than the practical financing capacity of the leveraged buyout market, and its capital structure is already close to management's own conservative target; this section is therefore omitted as not applicable.

D. Investment Thesis

Bull Case

Brent crude remains structurally supported above \$80 per barrel as Middle East supply risk persists or recurs, keeping Upstream and Energy Products earnings near 2026 elevated levels; Permian, Guyana, and Golden Pass LNG volumes continue ramping on schedule, adding low-cost barrels that improve the corporate cost curve; structural cost savings reach the \$20 billion 2030 target ahead of schedule; and continued buybacks reduce the share count meaningfully, lifting per-share metrics even if absolute earnings are flat. Under this combination, the stock could re-rate toward the upper end of the illustrative DCF range in Section C5.

Bear Case

The Middle East conflict de-escalates further, Gulf export volumes normalize fully, and Brent settles into the \$55–65 per barrel range some forecasters project for 2026; refining margins simultaneously soften on demand weakness. Upstream and Energy Products earnings compress together, trailing multiples that already sit above historical and peer averages re-rate downward, and free cash flow (already declining since 2022) falls further, testing management's ability to sustain both the dividend and the buyback pace without further drawing down cash or adding debt.

Base Case

Crude prices partially normalize from the 2026 peak but settle above the most bearish forecasts, in a \$68–75 per barrel range; ExxonMobil's advantaged-asset volume growth continues at a mid-single-digit pace, roughly offsetting price normalization; margins hold near their five-year average rather than at either cyclical extreme; and capital allocation continues its established pattern of steady dividend growth funded by free cash flow, with buyback pace flexing to available cash flow. This scenario implies trailing multiples gradually normalizing toward, though not necessarily below, historical averages.

Catalysts

- **Third-quarter 2026 earnings** (expected late October/early November 2026): the first full quarter to show whether the unwind of the Middle East price premium has begun to compress Upstream and Energy Products earnings.
- **Golden Pass LNG first cargoes:** management guided to first cargoes in early 2026; confirmation of ramp progress would validate a key growth catalyst.
- **Further Gulf export normalization or renewed escalation:** continued easing of the Strait of Hormuz/Bab el-Mandeb disruption would be a negative earnings catalyst; renewed escalation would be positive for near-term earnings but negative for long-run demand certainty.
- **Buyback cadence versus the \$20 billion 2026 authorization:** any deceleration would signal management's own view that free cash flow no longer comfortably covers the current distribution pace.

Things to Monitor

Metric / event	Why it matters	Positive signal	Negative signal
Realized crude and refining margins (quarterly)	Primary driver of Upstream and Energy Products earnings	Stabilization above \$70/bbl equivalent	Rapid reversion toward \$55–60/bbl

Metric / event	Why it matters	Positive signal	Negative signal
Permian and Guyana production volumes	Advantaged, low-cost barrels that support the cost curve regardless of price	Continued record output	Growth deceleration or well-decline surprises
Free cash flow vs. distributions	Tests whether the dividend and buyback pace remain self-funded	FCF stabilizes or recovers above \$30bn	FCF continues declining below distribution levels
Net debt / EBITDA	Balance-sheet buffer against commodity downside	Remains below 1.0x	Rises meaningfully above 1.0x
Golden Pass LNG ramp	Next major growth project moving into cash generation	On-schedule cargo ramp	Delays or cost overruns

E. Final Investment Framework

BUSINESS QUALITY	High. Integrated model across upstream, refining, and chemicals with an advantaged low-cost resource base in the Permian and Guyana.
FINANCIAL QUALITY	High. Investment-grade balance sheet, consistent multi-year free cash flow generation, and a 43-year dividend growth record, though free cash flow has declined for three consecutive years as capex has risen.
COMPETITIVE POSITION	Leading. Largest integrated major in the peer set by market capitalization and production, though Chevron's 2025 Hess acquisition brought a new competitor into ExxonMobil's Guyana joint venture.
MANAGEMENT	Aligned with shareholders on capital allocation (dividends, buybacks, cost discipline); a routine, previously planned CFO transition occurred in February 2026 with an internal 26-year veteran.
INDUSTRY	Mature and cyclical, currently overlaid with acute, unresolved geopolitical volatility in Middle East oil supply.
VALUATION	Above five-year own-history and peer averages on trailing multiples, aided by cyclically elevated trailing-twelve-month earnings.
TECHNICAL AND MARKET STRUCTURE	Established uptrend since 2021 (50-week average above 200-week average); shares roughly 10% below the 52-week high as the 2026 price premium partially unwinds.
PRINCIPAL RISK	A faster-than-expected normalization of Brent crude toward \$55–65 per barrel, compressing Upstream and Energy Products earnings simultaneously.
PRINCIPAL CATALYST	Third-quarter 2026 results, the first clean read on earnings after the acute phase of the Middle East supply shock.
KEY VARIABLE	The realized price of crude oil and refining margins over the next four to six quarters, which will determine whether current trailing earnings and valuation multiples prove durable or cyclically inflated.
THESIS INVALIDATION	The investment thesis would become materially weaker if Brent crude sustained a level below approximately \$60 per barrel for two or more consecutive quarters while net debt/EBITDA rose above 1.0x, indicating that the balance-sheet buffer that currently supports the valuation premium was eroding alongside earnings.

F. Company Snapshot

STANDARDIZED DATA TABLE

Category	Metric	Current	Prior year	5-year trend
Market	Market capitalization	\$644.4 bn	n/a	n/a
Market	Enterprise value	~\$677.3 bn	n/a	n/a
Market	Share price (28 Aug 2026)	\$156.71	n/a	52-wk range \$105.30–\$174.09
Growth	Revenue growth, FY2025 vs. FY2024	–4.5%	+1.4% (24 vs 23)	FY2021–25: peak \$398.7bn (2022), trough \$276.7bn (2021)
Profitability	Gross margin	21.7%	22.6%	Declining since 2022 peak of 25.9%
Profitability	Operating margin	10.5%	11.7%	Declining since 2022 peak of 16.1%
Profitability	Net margin	8.9%	9.9%	Declining since 2022 peak of 14.0%
Profitability	ROE (calculated)	11.0%	14.4%	Declining since 2022 peak of 30.7%
Profitability	ROIC (calculated)	8.3%	10.0%	Declining since 2022 peak of 22.8%
Cash flow	Operating cash flow	\$52.0 bn	\$55.0 bn	Declining since 2022 peak of \$76.8bn
Cash flow	Free cash flow (calculated)	\$23.6 bn	\$30.7 bn	Declining since 2022 peak of \$58.4bn
Leverage	Net debt / EBITDA (calculated)	0.48x	0.25x	Range 0.11x–0.77x, FY2021–25
Valuation	Trailing P/E	20.1x	n/a	10-yr range approx. 7.8x–38.2x
Valuation	EV / EBITDA	8.9x	n/a	n/a
Valuation	Dividend yield	2.6%	n/a	10-yr range approx. 3.2%–8.4%
Market	Beta (data provider)	0.17	n/a	n/a

Sourced: Alpha Vantage company overview and SEC-normalized financial statements, as of 28 August 2026, unless marked "calculated." Enterprise value calculated as market capitalization plus total debt less cash and equivalents.

G. Sources and Methodology

Primary Sources

Exxon Mobil Corporation: Form 10-K, fiscal year 2025 (filed February 2026; sec.gov/Archives/edgar/data/34088/000003408826000045/xom-20251231.htm). Used for segment structure, business description, and consolidated financial statement confirmation.

Exxon Mobil Corporation: "ExxonMobil Announces 2025 Results," corporate press release (30 January 2026; corporate.exxonmobil.com/news/news-releases/2026/0130-exxonmobil-announces-2025-results). Used for full-year and fourth-quarter 2025 financial highlights, segment earnings, capital allocation, and management commentary.

Exxon Mobil Corporation: "Management Committee," corporate governance page (accessed August 2026; corporate.exxonmobil.com/who-we-are/our-approach/management-committee). Used for executive biographies and tenure.

U.S. Securities and Exchange Commission: EDGAR filing index for Exxon Mobil Corporation, CIK 0000034088 (sec.gov). Used to confirm filing authenticity and dates.

Secondary Sources

Al Jazeera: "Oil prices rise as attacks dent hopes for Strait of Hormuz reopening" (12 August 2026; aljazeera.com/economy/2026/8/12/oil-prices-rise-as-attacks-dent-hopes-for-strait-of-hormuz-reopening). Used for 2026 Middle East supply-disruption narrative.

Gulf News: "Brent crude oil price spikes to \$109.1 amid Iran-US-Israel war" (2026; gulfnews.com/business/energy). Used for peak 2026 crude price context.

Fortune: "Current price of oil as of August 25, 2026" and related daily oil-price articles (fortune.com/article/price-of-oil-08-25-2026). Used for late-August 2026 crude price levels and the Iran-Oman Strait of Hormuz revenue-sharing development.

ABN AMRO: "Energy Market Outlook 2026: oil oversupply and European gas price stabilization" (abnamro.com/research). Used for the bearish 2026 Brent price scenario.

J.P. Morgan Global Research: "Oil Prices Forecast" (jpmorgan.com/insights/global-research/commodities/oil-prices). Used for a higher 2026 Brent price scenario.

U.S. Energy Information Administration: Short-Term Energy Outlook, global oil markets (eia.gov/outlooks/steo/report/global_oil.php). Used for supply/demand balance commentary and price forecasts.

Bullfincher: "Exxon Mobil Corporation Revenue Breakdown By Segment" (bullfincher.io/companies/exxon-mobil-corporation/revenue-by-segment). Used as a secondary cross-check on 2025 segment revenue mix derived from the Form 10-K.

Market Data

Alpha Vantage: Company Overview, Income Statement, Balance Sheet, Cash Flow, Earnings, Global Quote, and daily/weekly adjusted Time Series endpoints for XOM, CVX, SHEL, TTE, COP, BP, and SPY (data retrieved 28–29 August 2026; alphavantage.co). Used for all valuation multiples, historical price series, peer comparison data, dividend history, and SEC-normalized financial statements.

Calculations

Analyst calculations performed for this report: free cash flow (operating cash flow less capital expenditure); return on equity and return on invested capital; net debt and net debt/EBITDA; capex/revenue, gross/operating/net margins; historical year-end P/E and dividend yield; short- and long-dated price and total-return calculations; enterprise value; and the illustrative discounted-cash-flow valuation range in Section C5. All calculated figures are labeled as such at first use.

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1. ExxonMobil, "ExxonMobil Announces 2025 Results," 30 January 2026.
 2. IEA Oil Market Report, February and June 2026; U.S. EIA Short-Term Energy Outlook, 2026.
 3. Al Jazeera, 12 August 2026; Gulf News; Fortune daily oil price series, August 2026; Trading Economics Brent crude news archive.
 4. ABN AMRO Energy Market Outlook 2026; J.P. Morgan Global Research oil price forecast; U.S. EIA Short-Term Energy Outlook.

5. ExxonMobil corporate website, Management Committee page, accessed August 2026.
6. Alpha Vantage company overview and SEC-normalized financial statement data for XOM, retrieved 28–29 August 2026.

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